



RAPPORT DEVELOPPEMENT DURABLE

Where subcontracting is authorized by the Customer, the Supplier shall remain solely responsible for the performance of all its contractual obligations. The Supplier shall ensure that subcontractors are bound by confidentiality and quality requirements no less stringent than those in this Agreement.

Statistical process control (SPC) monitoring is in place for critical dimensions identified in control plan CP-AV3000-Rev.F. Process capability indices Cpk exceed 1.67 for all key characteristics.

Packaging and labelling of all Products shall conform to the specifications set forth in the applicable Schedule. The Supplier shall be liable for any damage attributable to inadequate packaging during transport.

The Group's litigation history in comparable matters shows an amicable resolution rate of approximately 65%, with settlement amounts averaging 45% of the initial claim.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.

This Agreement constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior negotiations, representations, and agreements, whether written or oral.

Insurance coverage under the Group's professional indemnity policy has been verified. The applicable deductible is EUR 500,000 per claim, with an aggregate annual limit of EUR 50,000,000.

The batch record includes the following records: production traveller, test reports (leak, fatigue, functional, NDT), material certificates, calibration certificates, non-conformity reports where applicable, and EASA Form 1.

Storage conditions for released parts conform to requirements: temperature 15-25 degrees C, relative humidity below 60%, protection from dust and mechanical shock. Maximum storage duration before dispatch is 90 days.

The matter has been entered in the Group's legal risk register under reference LR-2024-XXX. Oversight has been assigned to the General Counsel.

The batch record review was completed by the Head of Quality and Airworthiness prior to lot release. All identified non-conformities have been dispositioned and closed.

The risk of an adverse costs order has been factored into the provision estimate, with additional exposure estimated at between GBP 50,000 and GBP 150,000.

The CAPA opened in response to the recurring non-conformity includes the following actions: supplementary supplier audit, enhanced receiving inspection, and qualification of an alternative supplier.

All notices under this Agreement shall be in writing and delivered by registered mail, internationally recognized courier service, or email with read receipt confirmation, to the addresses set forth in the preamble.

Neither Party shall, during the Term and for twelve (12) months thereafter, directly or indirectly solicit or hire any employee of the other Party who was involved in the performance of this Agreement.

The dimensional deviation on port B bore (measured: 25.015 mm against tolerance of 25.000 +0.010/-0.000 mm) has been subject to an engineering concession request (ref. EC-2024-0089).

A conflict-of-interest check has been performed to ensure that the appointed external counsel does not represent any adverse party or have any relationship that could compromise the objectivity of their advice.

The provision amount has been determined based on the best estimate of the expenditure required to settle the present obligation at the reporting date, taking into account the risks and uncertainties inherent in the matter.

It is recommended that no public statement be made regarding this matter, given the confidentiality obligations under the mediation clause and the potential for reputational harm.

The Supplier shall procure and maintain throughout the Term professional liability insurance with a minimum cover of five million euros (EUR 5,000,000) per occurrence and in the aggregate per year, and shall provide evidence thereof upon request.